

The Morning Brief

MAY 21, 2026

Parabolic, Priced In

Nvidia's record quarter and an above-consensus guide met a measured market response, capping a broad risk-on session as Iran de-escalation drove crude and Treasury yields sharply lower.

S&P 500 (WED)	BRENT (BNO)	BITCOIN (IBIT)	NVDA (WED)	FEAR & GREED
\$741.25 · ↑1.02%	\$55.64 · ↓5.39%	\$43.99 · ↑1.13%	\$223.47 · ↑1.30%	29 · Fear

SECTION 01

Markets — Thursday Open

WEDNESDAY'S BROAD ADVANCE INTERRUPTED THE RECENT RUN OF LOWER CLOSES — ALL FOUR MAJOR AVERAGES ROSE, LED BY THE RATE-SENSITIVE RUSSELL 2000, AS TREASURY YIELDS REVERSED LOWER AND SECTOR LEADERSHIP FLIPPED DECISIVELY FROM ENERGY TOWARD TECHNOLOGY AND THE IOWN AI-INFRASTRUCTURE SLEEVE INTO NVIDIA'S AFTER-THE-CLOSE PRINT

The IOWN tape staged a broad risk-on advance Wednesday that interrupted the run of lower closes the prior briefs tracked. The S&P 500 ETF closed at \$741.25 (↑1.02%), the Dow proxy at \$500.24 (↑1.27%), and the Nasdaq proxy at \$713.15 (↑1.66%), with the rate-sensitive Russell 2000 leading at \$279.87 (↑2.52%) — its outperformance consistent with the day's defining reversal in the bond market. The long-end Treasury proxy TLT rose ↑1.07% to \$83.91, unwinding part of the yield backup that pressured equities through the prior briefs as crude fell sharply on the Iran de-escalation discussed in Section 02. UVXY (VIX proxy) eased ↓3.32%. Sector leadership flipped decisively: Consumer Discretionary (XLY ↑2.53%) and Technology (XLK ↑2.25%) led, while Energy (XLE ↓2.43%) was the weakest sector — a clean reversal from the energy leadership the prior briefs tracked. Inside the IOWN sleeves, the AI-infrastructure complex rallied hard into Nvidia's after-the-close report — AMD ↑8.10%, CRDO ↑8.28%, LRCX ↑6.84%, VST ↑6.90%, MRVL ↑5.97%, and NXPI ↑5.39% — and homebuilder TOL was the single largest IOWN mover at ↑9.80% as falling yields lifted the rate-sensitive housing complex.

S&P 500 · DOW · NASDAQ	\$741.25 ↑1.02% · \$500.24 ↑1.27% · \$713.15 ↑1.66%
RUSSELL 2000 · VOLATILITY	\$279.87 ↑2.52% · UVXY ↓3.32%
TREASURIES	TLT ↑1.07% to \$83.91 (yields lower)
SECTOR BREADTH	XLY ↑2.53% · XLK ↑2.25% · XLE ↓2.43% (weakest)
IOWN TOP MOVERS (WED)	TOL ↑9.80% · CRDO ↑8.28% · AMD ↑8.10% · VST ↑6.90%
IOWN EARNINGS (WED)	NVDA EPS \$1.87 beat · ADI EPS \$3.09 beat

NVIDIA DELIVERED A RECORD FISCAL Q1 WITH REVENUE, MARGINS, AND A SECOND-QUARTER GUIDE ALL ABOVE CONSENSUS, AUTHORIZED AN ADDITIONAL \$80 BILLION IN BUYBACKS, AND RAISED ITS QUARTERLY DIVIDEND ROUGHLY TWENTY-FIVE-FOLD — YET THE SHARES EASED MODESTLY IN EXTENDED TRADING, CONSISTENT WITH A SETUP IN WHICH EXPECTATIONS HAD RUN AHEAD OF EVEN A STRONG RESULT

Nvidia reported fiscal Q1 2027 after Wednesday's close, and on the numbers it was a clear beat. Per the company's release and coverage from CNBC and S&P Global, revenue reached a record \$81.6 billion, up roughly 85% year over year, with Data Center revenue at a record \$75.2 billion; non-GAAP

EPS came in at \$1.87 against the data drop's \$1.79 consensus, and non-GAAP gross margin held near 75%. Guidance was the standout — per the same coverage, the company guided fiscal Q2 revenue to approximately \$91 billion, well above the roughly \$87 billion Street consensus, and notably with no Data Center compute revenue from China assumed in that figure. Nvidia also authorized an additional \$80 billion in share repurchases and raised its quarterly dividend from one cent to twenty-five cents per share. On the earnings call, CEO Jensen Huang characterized AI demand as accelerating sharply and tied it to the arrival of agentic AI. Despite the across-the-board beat, the shares eased modestly in extended trading and US index futures pointed slightly lower into Thursday's open — a measured response that, per Chart-Mill's framing, suggests the market had largely moved on from the headline even as Asian semiconductor names rallied strongly overnight. For the IOWN framework, the print validates the demand backdrop beneath the connectivity, foundry, and power positions far more than it resolves the single-name tape.

THE APRIL FOMC MINUTES SHOWED A DIVIDED COMMITTEE LEANING HAWKISH — A MAJORITY VIEWED FURTHER POLICY FIRMING AS LIKELY APPROPRIATE IF INFLATION PERSISTS

ABOVE TARGET — WHILE IOWN DIVIDEND-SLEEVE HOLDING ANALOG DEVICES CLOSED LOWER DESPITE A CLEAR EARNINGS BEAT

Two developments framed the rate-and-semiconductor read beneath Wednesday's rally. First, the minutes of the April 28–29 FOMC meeting were released Wednesday afternoon. Per the Federal Reserve and coverage from FXStreet, the minutes showed a divided committee — multiple dissents were recorded, split between a preference for an immediate cut and objections to the statement's easing bias — and indicated that a majority of participants viewed some additional policy firming as likely appropriate should inflation continue to run persistently above the 2% target. The hawkish lean was largely overshadowed on the day by the sharp move lower in crude and yields. Second, IOWN dividend-sleeve holding Analog Devices reported fiscal Q2 before the open: per the data drop and the company's release, ADI posted EPS of \$3.09 against roughly \$2.93 consensus on record revenue, yet the shares closed ↓3.92% at \$398.05 after trading as low as \$383.85 intraday. Per Seeking Alpha, the decline came even as results and guidance topped estimates — a pattern consistent with a market questioning the durability of the broader analog cycle rather than the quarter itself.

A record quarter, a guide well above consensus, an \$80 billion buyback, and a twenty-five-fold dividend increase — met by a measured tape. When expectations outrun even exceptional results, the discipline is to separate the business from the session. Think Like an Owner.

Geopolitics

CRUDE FELL SHARPLY FOR A SECOND STRAIGHT SESSION AS THE IRAN DE-ESCALATION ACCELERATED — TRUMP SIGNALLED NEGOTIATIONS WERE CLOSE TO CONCLUSION AND THE STRAIT OF HORMUZ BEGAN REOPENING, THOUGH THE POSTURE REMAINS CONDITIONAL AND IRAN IS REPORTED TO BE CONSOLIDATING RATHER THAN RELINQUISHING CONTROL OF THE WATERWAY

The dominant macro force beneath Wednesday's rally was the accelerating Iran de-escalation. Per reporting referenced in the data drop headlines and broader coverage, President Trump signaled that negotiations with Iran were close to conclusion, and both crude benchmarks fell sharply — the WTI proxy USO ↓5.68% and the Brent proxy BNO ↓5.39% — as the Strait of Hormuz began reopening. Per Reuters via the data drop headlines, however, the picture is more textured than a clean resolution: Iran is reported to be consolidating control of Hormuz through island checkpoints, bilateral diplomatic arrangements, and in some cases transit fees, and is separately seeking a mechanism with Oman to govern passage through the strait. The posture also remains conditional — per Reuters, Trump indicated the United States may still need to strike Iran more forcefully, while allowing that it may not prove necessary. For the committee, the proximate read is that the war-risk premium in crude is unwinding faster than the underlying geopolitical risk is being permanently retired.

ENERGY WAS WEDNESDAY'S WEAKEST SECTOR AS THE SUPPLY PREMIUM UNWOUND — THE IOWN ENERGY SLEEVE GAVE BACK BROADLY, THOUGH THE STRUCTURAL PHYSICAL-SUPPLY THESIS WAS BUILT AROUND REAL-WORLD DEMAND RATHER THAN AN ESCALATION PATH

The energy complex is the cleanest place to read the de-escalation, and Wednesday it was the clear laggard: XLE ↓2.43% was the weakest sector, with the IOWN energy sleeve giving back broadly — CVX ↓3.00% to \$191.33, VLO ↓3.37% to \$253.77, OKE ↓3.24% to \$92.15, and CNX ↓2.25% to \$36.53. That is a sharp reversal from the energy leadership the prior briefs tracked through recent sessions. The structural point for the committee is that the IOWN energy positioning was constructed around the physical-supply thesis — constrained capacity, supply discipline, and the “physical world matters” framework — rather than around a geopolitical escalation path. A faster-than-expected unwind of the war premium pressures the sleeve in the near term, but the longer-horizon case rests on physical demand that a Hormuz reopening does not, on its own, reverse. Defense exposure was

roughly flat — LMT ↓0.77% and GD ↓0.11% — consistent with the orthogonal-hedge role the prior briefs described; separately, per Benzinga, General Dynamics drew political criticism tied to the proposed “Golden Dome” missile-defense program.

IRAN · DIPLOMATIC POSTURE	Trump signals negotiations close to conclusion · Strait of Hormuz reopening
CONDITIONAL CAVEAT	Trump says US may still strike more forcefully — or may not, per Reuters
HORMUZ	Iran consolidating control via checkpoints, deals, and fees per Reuters · seeking Oman mechanism
CRUDE (WED)	USO ↓5.68% · BNO ↓5.39% · second straight sharp decline
IOWN ENERGY SLEEVE (WED)	XLE ↓2.43% (weakest) · CVX ↓3.00% · VLO ↓3.37% · OKE ↓3.24%
IOWN DEFENSE SLEEVE (WED)	LMT ↓0.77% · GD ↓0.11% (roughly flat)

On Our Radar

1. Nvidia's record print reframes the read-through across the entire IOWN physical-AI sleeve — foundry, connectivity, power, and semiconductor capital equipment — not just the headline name. Nvidia's fiscal Q1, with record revenue near \$81.6 billion, a fiscal Q2 guide near \$91 billion, and an additional \$80 billion buyback per the company's release and CNBC, validates the demand backdrop for the IOWN positions deliberately spread across the AI build-out. TSM (↑2.29% Wednesday) is the foundry; MRVL (↑5.97%) and CRDO (↑8.28%) sit in connectivity, though per Seeking Alpha CRDO drew a rating downgrade even amid the rally; LRCX (↑6.84%) reads on semiconductor capital intensity; and VST (↑6.90%), NEE, and the utility names carry the power side. Per a Seeking Alpha framing, the variable that matters most may not be the headline number but the durability of the capital-spending cycle the whole sleeve depends on. The discipline is to treat the print as a catalyst for the thesis rather than a binary on one position. *Research Reveals Opportunities.*

2. The April FOMC minutes leaned hawkish into a tape that rallied anyway — the rate-path repricing remains the quieter risk beneath the Nvidia headline. Per the Federal Reserve and FXStreet coverage, the April 28–29 minutes showed a divided committee, with a majority viewing further policy firming as likely appropriate if inflation runs persistently above the 2% target. Wednesday's sharp drop in crude and the ↑1.07% move in the long-end Treasury proxy TLT pulled yields lower and overshadowed the minutes on the day, but they describe a Fed with limited room to ease if the inflation path does not cooperate. For the IOWN dividend sleeve's rate-sensitive utilities and the growth sleeve's homebuilder TOL, the path of yields from here remains a variable the relief in oil prices does not settle. *Avoid Erosion.*

3. Analog Devices beat and still closed lower — the dividend sleeve's clearest signal that the market is bifurcating semiconductors between the AI-infrastructure names and the broader analog cycle.

ADI reported fiscal Q2 EPS of \$3.09 against roughly \$2.93 consensus per the data drop, on record revenue led by its industrial segment, yet shares closed ↓3.92% at \$398.05. Per Seeking Alpha, the decline came even as both results and guidance topped estimates. The read for the committee is less company-specific weakness than a market increasingly willing to pay for AI-infrastructure exposure while questioning the durability of the broader analog and industrial-semiconductor cycle — a distinction the IOWN semiconductor positioning, spread across both, is built to weigh. *Think Like an Owner.*

4. The energy sleeve's rotation from market leadership to Wednesday's weakest sector is a clean test of whether the IOWN thesis rests on the war premium or on physical supply.

XLE ↓2.43% was the weakest sector as crude fell sharply for a second session on the Iran de-escalation, and the IOWN energy names gave back broadly (CVX ↓3.00%, VLO ↓3.37%, OKE ↓3.24%). The prior briefs framed the sleeve as both a geopolitical hedge and a standalone physical-supply trade; Wednesday isolates the question. A faster unwind of the Hormuz premium pressures the names near term, but the structural case — supply discipline and real-world demand — is not retired by a reopening. The committee's discipline is to distinguish a premium unwind from a thesis break. *Simplicity Over Complexity.*

5. Carson's active SPY support at \$645.80 remains untested, and a dense data slate today frames the rate read into the open.

The retracement target Carson set on April 13 is intact — Wednesday's S&P 500 ETF intraday low printed \$733.89 per the data drop, well clear of the level, leaving the index at \$741.25 roughly 15% above it. Fear & Greed sits at 29 (Fear) per the data drop, a modest improvement from the 27 and 25 readings of the prior two briefs but still a cautious signal against a tape that just posted a broad advance. Today's calendar is dense: weekly jobless claims, housing starts, building permits, and the Philadelphia Fed manufacturing index land at 7:30 AM CT, with S&P Global flash PMIs just after the open — the housing prints a direct read on the rate-sensitive complex that lifted TOL nearly 10% Wednesday. Walmart and Ross Stores also report, a non-IOWN but useful read on the consumer. **Research Reveals Opportunities.**